The Global Financial Crisis: Patterns and Lessons

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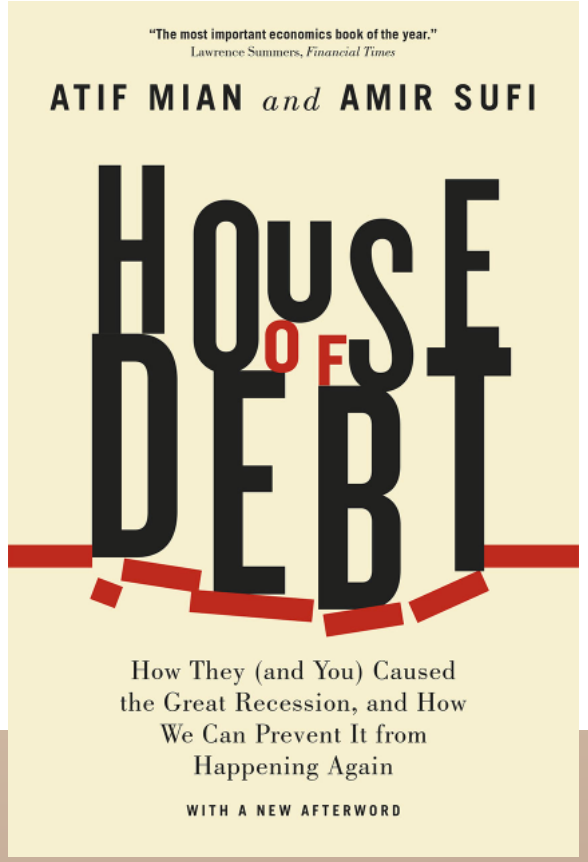
01

Introduction & Ar tcle Summary

Overview of Financial Crises

Historical Context

The 2008 global financial crisis was not an isolated event. Similar patterns of debt accumulation, asset bubbles, and subsequent collapses were observed in Thailand in the 1990s and the United States in the 2000s. These crises highlight the recurring nature of financial instability driven by excessive risk-taking and inadequate regulatory oversight.



Timeline of Events

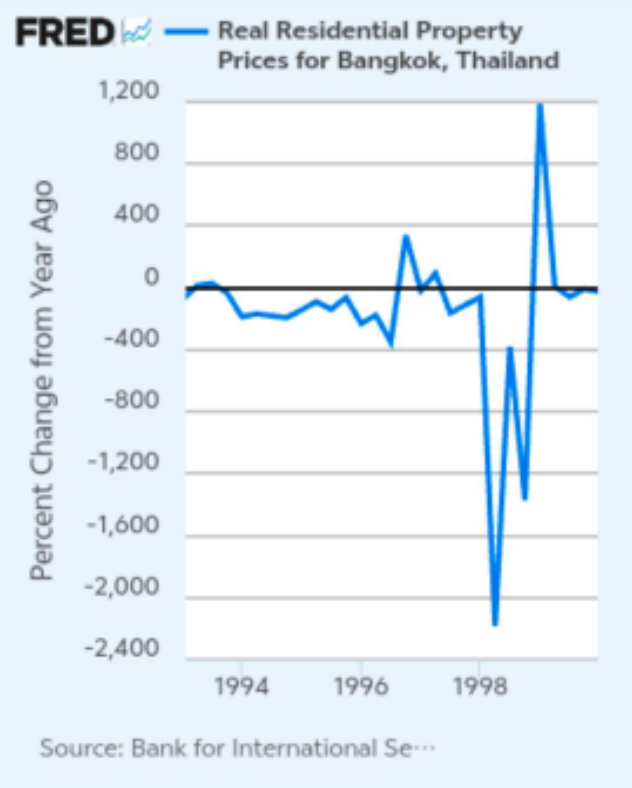
Thailand's Debt Surge

From 1990 to 1997, Thailand experienced a significant increase in total debt, rising from 34% to 51% of GDP. Real-estate loans tripled, leading to a massive bubble in property prices. This unsustainable growth was fueled by aggressive lending practices and a false sense of security provided by government guarantees.

Year	Event
1990–1997	Lenders in Thailand went berserk; total debt climbed from 34 to 51 percent of GDP. Real-estate loans tripled and prices reached astronomical levels.
1998	Foreign investors dumped their securities and refused to renew loans; the Thai bubble collapsed and sparked financial crises.
1998–2001	East Asian central banks built a war chest of dollars and bought around $100 billion of U.S. assets annually.

Timeline of Events

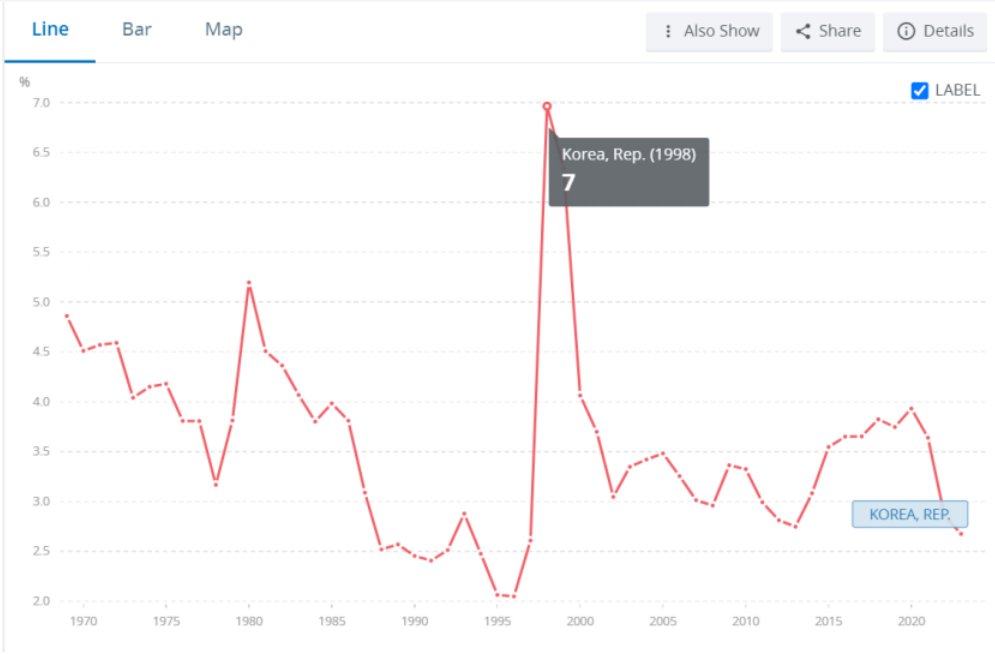
The bubbles burst



Unemployment, total (% of total labor force) (national estimate) - Korea, Rep.

Labour Force Statistics database (LFS), International Labour Organization (ILO), uri: ilostat.ilo.org/data/bulk, publisher: ILOSTAT, type: external database, data accessed: January 07, 2025

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Timeline of Events

2002–2006	Private-label securitization share surged from less than 20 % to over 50 % before collapsing in 2007.
2007	Subprime borrowers defaulted en masse; AAA MBS lost value and banks collapsed.
2008–2009	The expansion of credit to risky borrowers ended disastrously, pushing the household-default rate to its highest level since the Great Depression.

Securitization Surge

From 2002 to 2006, private-label securitization in the US grew rapidly, increasing from less than 20% to over 50% of the market. This surge in securitization allowed risky mortgages to be repackaged as "safe" assets, creating a false sense of security and leading to unsustainable credit expansion.

Subprime Crisis

In 2007, subprime borrowers began defaulting in large numbers, causing AAA-rated mortgage-backed securities (MBS) to lose value. This triggered the collapse of major banks and financial institutions, leading to the global financial crisis of 2008-2009. The crisis highlighted the dangers of securitization and the lack of proper risk assessment.

Main argue:

The root cause of the 2008 global financial crisis lies in the transmission mechanism of debt: the hoarding of US dollar reserves by countries after the East Asian financial crisis led to capital flooding into the US market, which was combined with the abuse of securitization technology, the pretence of risky mortgages as“Safe assets” eventually led to unsustainable credit expansion and systemic collapse.

02

Attitude, Theory and Evidence

1. The theory of moral hazard

Definition: Moral hazard occurs under conditions of information asymmetry Due to uncertain or incomplete contracts, the responsible economic agent does not bear the full consequences of their actions. While maximizing their own utility, they take actions that are detrimental to others.

Evidence: In Thailand, banks rely on government guarantees for lending, while in the United States, banks transfer risks to investors through securitization. Both methods lead to the accumulation of risks.

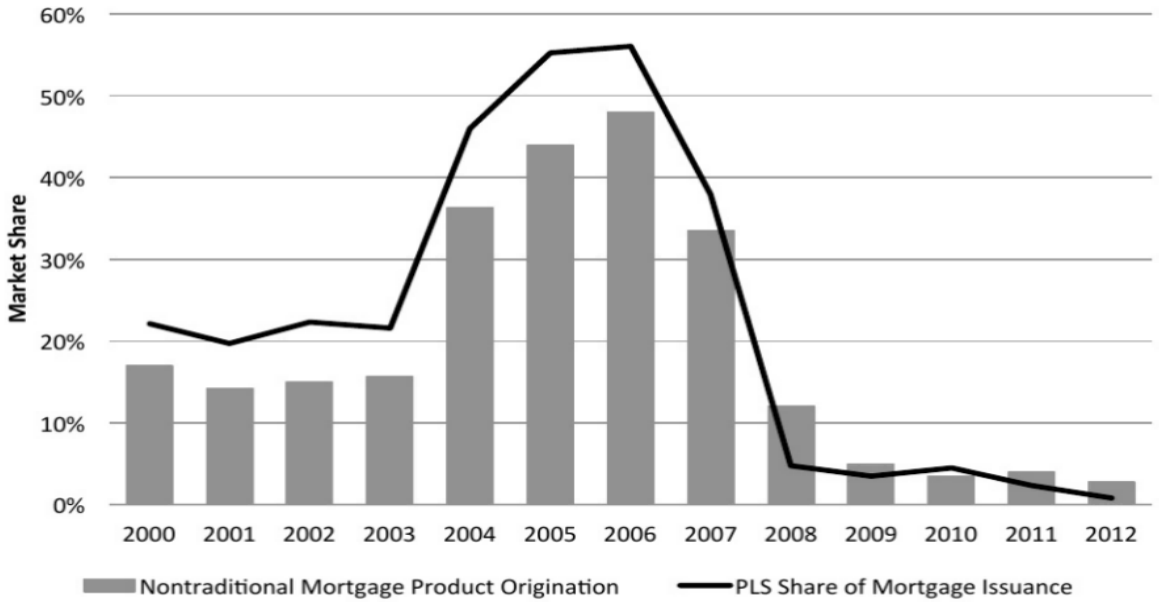


Figure1: Market Share of Nontraditional Mortgage Products and Private Label Securitisation
rce: Inside Mortgage Finance 2013 Mortgage Market Statistical Annual

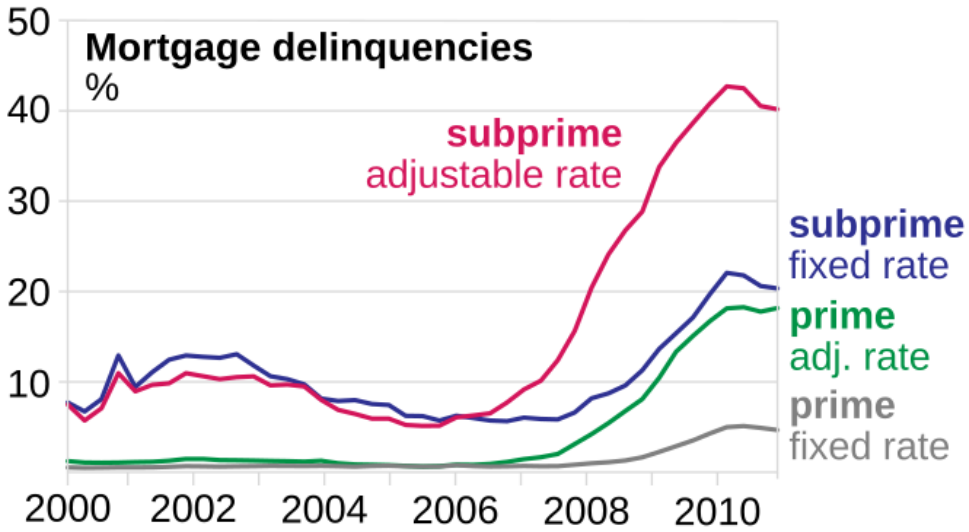
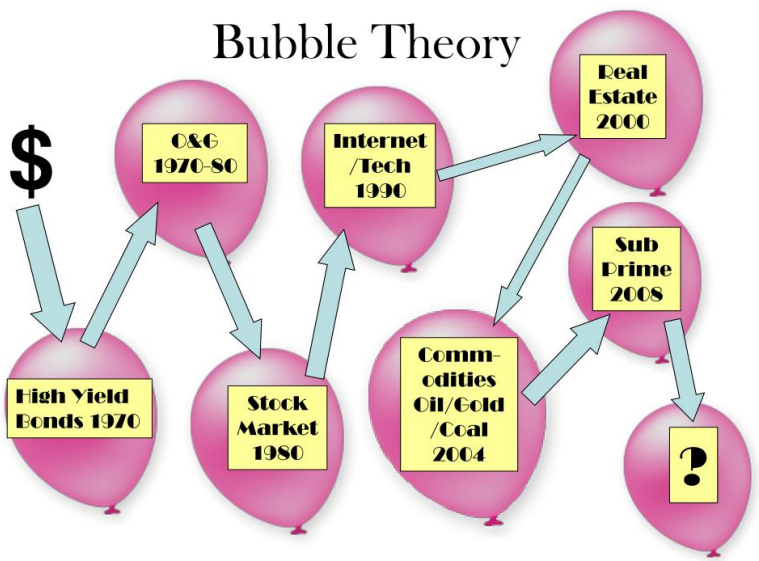


Figure2: Mortgage delinquencies
source: T h f inancial Crisis Inquiry Report

2. Bubble Theory

Definition: When a large amount of capital floods into a certain market, it is likely to cause asset prices to rise beyond their fundamental levels, thereby forming a bubble.

Evidence: From 1990 to 1996, the amount of real estate loans in Thailand doubled. The construction boom led to an oversupply, and after the bubble burst, foreign capital withdrew. The banks went bankrupt due to their inability to repay in US dollars, which was in line with the "capital inflow → bubble → crisis" chain described in the article.



03

Case Study 1: Moral Hazard and the Subprime Crisis

1. Definition of Moral Hazard

Moral hazard occurs when one party (e.g., financial institutions) takes excessive risks because they believe they are protected from the consequences—either by government guarantees or risk transfer mechanisms. In the subprime crisis, moral hazard fueled reckless lending and investing.

2. Thailand's Moral Hazard (1990s)

Background: Thailand experienced a massive capital inflow in the 1990s, leading to a real estate bubble.

Moral Hazard Manifestations:

Banks: Lent aggressively, assuming the government would bail them out.

Foreign Investors: Believed Thai banks were "too big to fail" due to political connections.

Outcome: The 1997 crash triggered the Asian Financial Crisis.





3. U.S. Moral Hazard (2000s)
Background: Private-label securitization (PLS) repackaged risky mortgages into "safe" mortgage-backed securities (MBS).
Moral Hazard Manifestations:
Lenders: Lowered standards (e.g., accepting low FICO scores, no-doc loans) because they could offload risk via securitization.
Investors: Blindly trusted AAA ratings without scrutinizing underlying loans.
Rating Agencies: Underestimated default correlations due to conflicts of interest.
Outcome: By 2012, AAA-rated MBS from 2007 had lost 50% of their value.





4. Key Takeaways
Implicit guarantees (e.g., government bailouts, "safe" ratings) encourage reckless behavior.
Financial innovation (e.g., securitization) requires transparency and regulation to prevent abuse.

04

Case Study 2: The Bubble theory： Asset prices – positive credit feedback

Step 1: Cheap money floods in

• Thailand 1990s: foreign banks lend dollars at 4 %, Thai banks push them to developers at 12 %. Debt-to-GDP jumps from 34 % to 51 % in six years.
• United States 2002–2006: global savings pour into AAA-labelled private mortgage bonds; subprime lending soars.
• China 2009–2021: after the stimulus, total real-estate credit goes from 60 % of GDP to 120 %.

Step 2: Prices rocket

Bangkok condos triple in three years. U.S. house prices rise 74 % in five. Shenzhen shoots up 310 % in six. Rent-to-price ratios fall below 1 : 400—Forming a classic Minsky type "debt price" positive feedback.

Step 3: Feedback reversed and the foam burst.

• 1997: hedge funds attack the baht; Thailand's 33-billion-dollar reserve burns in a week.
• 2007–08: subprime default rate jumps from 6 % to 10 %; Lehman collapses.
• 2021–22: Evergrande and Country Garden default; Chinese developer dollar bonds fall to 30 cents on the dollar.

Step 4: Painful clean-up

Bangkok prices drop 45 % and 56 finance firms close. U.S. prices fall 30 % and 7,000 banks disappear. China is still in the middle: prices are down 15 % nationally, with local governments and AMCs scrambling to finish stalled projects. Same pipeline, same ending: cheap short money plus long illiquid property equals boom, bust, bailout.



From Mian & Sufi, House of Debt, Ch.7

City	Peak-to-Trough Drop
Bangkok	-45 % (1997-1999)
U.S.	-32 % (2006-2009)
Shenzhen	-25 % (2021-2023)

05

Conclusion

Lessons Learned

Recurring Patterns

Financial crises in Thailand, the US, and China reveal a troubling but predictable pattern. Moral hazard, driven by implicit guarantees and inadequate regulation, consistently leads to reckless behavior and asset bubbles.

Global Interconnectedness

The 1997 Asian crisis led to dollar hoarding, which fueled the US subprime crisis. This, in turn, contributed to global monetary loosening and inflated China's property bubble. Addressing individual national vulnerabilities without considering global capital flows is insufficient.



Regulatory Frameworks

Financial innovation requires robust regulatory frameworks to prevent abuse. Securitization, currency pegs, and shadow banking all amplify risks when inadequately supervised.

Preventing Future Crises

The challenge lies in developing resilient frameworks that can prevent or mitigate the inevitable occurrence of financial crises. Addressing the fundamental incentive structures that encourage excessive risk-taking and the global capital flows that fuel asset bubbles is crucial.

Thank you